made by trading up over the years is the only reason you're reading this book. It's why you have $100,000 or $400,000 of net worth. Anyone who tells you to cash out must have a couple of dead spark plugs.

HOME OWNERSHIP: THE GREAT AMERICAN RIPOFF?

On San Francisco's Russian Hill you can rent a $300,000 condo for about $1,200 a month, $14,400 a year. You can also buy the place. If you buy, you put $50,000 down and get a $250,000 mortgage. You forfeit $4,000 a year interest on your down payment and pay $27,000 annual interest on the mortgage. Insurance, taxes, condo fees, and upkeep come to $10,000. The total cost to own is $41,000 a year, or approximately three times the cost to rent.

So why would you ever want to buy rather than rent?

For one thing, you can deduct interest and taxes. The federal tax rate is 28 percent. The California rate, net of federal benefit, is about 8 percent. At those rates, the annual cost to buy the Russian Hill condo can go from $41,000 to about $30,000.

But you're still paying twice as much as renters. Is there any other reason to buy?

Some say the condo will go up in value, like in the California real estate boom of the late 1970s. People became millionaires, it seems, simply by moving once in a while. If you're one of the lucky few who bought in Los Angeles in 1975, Manhattan in 1977, Cape Cod in 1981, or Boston in 1983, you made a pile.

But those were booms. If you bought an Illinois farm in 1979, a San Francisco condo in 1981, or a Houston tract house in 1984, you got stuck with a white elephant.

Perhaps the most likely scenario is somewhere between catching a boom and getting stuck with a white elephant. Suppose, for example, you bought a house in Atlanta in